MCCJ 527 // ORGANIZED CRIME AND CORRUPTION

WAR DOGS

When organized crime **wears a polo shirt**

A movie review of War Dogs (2016) through the lens of organized crime and corruption

GROUP 6

Roll 27 · Roll 8 · Roll 37 · Roll 33 · Roll 24 · Roll 21

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LOT 01 // THE FILM

War Dogs at a glance: a true story told as a dark comedy

DIRECTOR	Todd Phillips
RELEASED	August 2016, Warner Bros.
GENRE	Crime comedy-drama, biographical
MAIN CAST	Jonah Hill (Efraim Diveroli), Miles Teller (David Packouz), Ana de Armas (Iz), Bradley Cooper (Henry Girard)
BASED ON	Guy Lawson's Rolling Stone article (2011) and book Arms and the Dudes (2015)

CENTRAL THEME

The grey zone where legitimate business, state power and crime overlap.

"War dogs" = people who profit from war without ever fighting in one.

$298M real Pentagon contract won by AEY Inc. in 2007

The plot in five moves: from bedsheets to a $300M arms deal

01

Crumbs

Broke Miami masseur David joins friend Efraim's company AEY, bidding on small Pentagon contracts online.

02

Iraq run

A stuck pistol shipment is pushed through Jordan into Iraq using fixers. The money starts flowing.

03

The broker

Watch-listed dealer Henry Girard opens access to 100 million rounds in Albania.

04

The fraud

The rounds are Chinese-made and banned. They are repackaged to hide their origin.

05

Collapse

Greed and betrayal. Efraim gets 4 years in prison; David, 7 months house arrest.

How much of it really happened? More than you would think

TRUE TO THE RECORD

AEY won a $298M contract to arm the Afghan National Army (2007)

Chinese-made rounds were repackaged to pass as Albanian

Efraim: 4 years in prison; David: 7 months house arrest after cooperating

Exposed by journalists after AEY's supplies came under scrutiny in 2008

DRAMATIZED FOR THE SCREEN

Henry Girard is a composite, inspired by Swiss broker Heinrich Thomet

The kidnapping-style threats in Albania did not happen as shown

Comedy and glamour soften the seriousness of the fraud

The film leaves out Albania's 2008 Gërdec depot blast (26 killed)

Sources: Lawson (2015); Al Jazeera (2008).

Is AEY organized crime? By the UN definition, yes

UNTOC, ARTICLE 2: AN ORGANIZED CRIMINAL GROUP IS…

- **A structured group of 3+ persons**
  Efraim, David, Ralph (financier), Henry, Albanian suppliers
- **Existing for a period of time**
  Operated for several years (2004–2008)
- **Acting in concert to commit serious crime**
  Fraud on the US government, conspiracy, embargo breach
- **For financial or material benefit**
  Millions in profit from the Afghan contract

WHITE-COLLAR CRIME

Crime by respectable people in the course of their occupation (Sutherland, 1940)

CORRUPTION

The abuse of entrusted power for private gain (Transparency International)

STATE-CORPORATE CRIME

Harm produced when government and business interact (Kramer et al., 2002)

Source: UNODC (2004), UN Convention against Transnational Organized Crime, Art. 2.

But it is not the mafia: AEY is organized white-collar crime

ABADINSKY'S (2013) ATTRIBUTES OF ORGANIZED CRIME

- ✓ **Non-ideological, profit-driven**
  Fits
- ✗ **Hierarchical structure**
  Does not fit
- ✗ **Limited, exclusive membership**
  Does not fit
- ✗ **Perpetuates itself after arrests**
  Does not fit
- ✓ **Uses violence or bribery**
  Partly fits
- ✓ **Specialization of roles**
  Fits
- ✓ **Seeks monopoly**
  Partly fits
- ✗ **Governed by rules or a code**
  Does not fit

OUR CLASSIFICATION

Organized white-collar crime

A legal, registered company that used legitimate channels to commit organized, transnational fraud across the US, Jordan, Iraq, Albania and Afghanistan.

Why it matters: it didn't look criminal, so no one checked.

Enterprise and network models explain AEY best

MODEL	CORE IDEA	FIT	IN THE FILM
Hierarchical Cressey (1969)	Mafia-style bureaucracy with ranks and a code	Weak	No ranks or code; it rested on Efraim alone
Patron–client Albini (1971)	Patrons trade access and protection for loyalty	Partial	Henry as patron controlling access to Albanian supply
Enterprise Smith (1980)	Crime as business on a legal–illegal spectrum	Strong	AEY slid from legal bidding to fraud as Pentagon demand grew
Network Morselli (2009)	Brokers linking separate actors hold the power	Strong	Efraim and Henry profit by bridging Pentagon and Balkan stockpiles

The deal was a network, and the brokers held the power



BROKERAGE

Power sits with whoever connects worlds that cannot reach each other directly (Morselli, 2009).

CRIME–TERROR NEXUS

Henry is barred from trading with the US, so AEY lends him a clean name.

Why did they do it? Four theories explain the choices



Rational choice

Cornish & Clarke (1986)

Repackaging banned rounds: huge reward, low chance of detection.



Strain / institutional anomie

Merton (1938); Messner & Rosenfeld (1994)

Broke, with a baby coming, David “innovates”; money overrides family.



Differential association

Sutherland (1940)

David learns the techniques and excuses of fraud from Efraim.



Techniques of neutralization

Sykes & Matza (1957)

“The troops still get bullets.” “The government does it too.”

LOT 09 // CORRUPTION

The system made it possible: Klitgaard's corruption formula

C = **M** + **D** − **A**

CORRUPTION = MONOPOLY + DISCRETION − ACCOUNTABILITY

MONOPOLY

Brokers like Henry control the only access to cheap Balkan stockpiles.

DISCRETION

Contracting officers and foreign officials decide with little scrutiny; fixers move shipments through Jordan.

LOW ACCOUNTABILITY

Wartime urgency; a company run by a man in his early twenties passes vetting.

State-corporate crime: the harm came from a government policy of outsourcing war to the lowest bidder, not just from two rogue individuals (Kramer et al., 2002).

Source: Klitgaard (1988).

WAR DOGS

Accurate in substance, exaggerated in style

STRENGTHS

- Breaks the mafia stereotype: crime as a business with a website and invoices
- Matches the enterprise and network models closely
- Realistic psychology: offenders who never see themselves as criminals
- Core facts are true: the contract, the repackaging, the sentences

WEAKNESSES

- Comedy glamorizes wealth and makes fraud look harmless
- Composite characters and invented danger in Albania
- Blames two individuals; underplays state-corporate failure
- Leaves out real victims, including the 26 killed at Gërdec

LOT 11 // CONCLUSION

Organized crime doesn’t always carry guns. Sometimes it sells them, with a government contract.

DEFINITION

AEY meets the UN test for an organized criminal group

MODELS

Enterprise and network models fit best; the mafia model does not

LESSON FOR BANGLADESH

Vet contractors, disclose real owners, check where goods come from

Thank you. Questions?

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